

PROTEZ FOUNDATION

Financial Statements

December 31, 2022



PROTEZ FOUNDATION

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INDEPENDENT AUDITOR'S REPORT

Board of Directors
Protez Foundation
Oakdale, Minnesota

We have audited the accompanying financial statements of Protez Foundation (a nonprofit Foundation), which comprise the statement of financial position as of December 31, 2022, and the related statement of activities, functional expenses, and cash flows for the eight months then ended, and the related notes to the financial statements.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Protez Foundation as of December 31, 2022, and the changes in net assets and its cash flows for the eight months then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Protez Foundation and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about Protez Foundation's ability to continue as a going concern within one year after the date that the financial statements are available to be issued.

INDEPENDENT AUDITOR'S REPORT, continued

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements, as a whole, are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements, including omissions, are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with generally accepted auditing standards, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Protez Foundation's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Protez Foundation's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control related matters that we identified during the audit.

November 1, 2023

Akins Henke and Company

PROTEZ FOUNDATION
Statement of Financial Position
December 31, 2022

ASSETS

Current assets:	
Cash	\$ 412,100
Prepaid expense	<u>2,500</u>
Total current assets	414,600
Right of use asset - operating lease	112,230
Furniture and equipment, net	<u>31,557</u>
Total Assets	\$ <u><u>558,387</u></u>

LIABILITIES AND NET ASSETS

Current liabilities:	
Accounts payable	\$ 93,839
Lease liability - operating lease	40,520
Accrued compensation	<u>6,736</u>
Total current liabilities	141,095
Lease liability - operating lease	<u>72,418</u>
Total liabilities	213,513
Net assets without donor restrictions	<u>344,874</u>
Total Liabilities and Net Assets	\$ <u><u>558,387</u></u>

See accompanying notes to the financial statements.

PROTEZ FOUNDATION
Statement of Activities
For the Eight Months Ended December 31, 2022

	Without Donor Restrictions	With Donor Restrictions	Total
REVENUE AND SUPPORT			
Contributions	\$ 1,013,057	-	1,013,057
Donated goods and services	65,329	-	65,329
Total Revenue and Support	<u>1,078,386</u>	<u>-</u>	<u>1,078,386</u>
EXPENSES			
Program	699,520	-	699,520
Support services:			
Management and general	20,826	-	20,826
Fundraising	13,166	-	13,166
Total Expenses	<u>733,512</u>	<u>-</u>	<u>733,512</u>
CHANGE IN NET ASSETS	344,874	-	344,874
NET ASSETS - BEGINNING OF YEAR	<u>-</u>	<u>-</u>	<u>-</u>
NET ASSETS - END OF YEAR	<u><u>\$ 344,874</u></u>	<u><u>-</u></u>	<u><u>344,874</u></u>

See accompanying notes to the financial statements.

PROTEZ FOUNDATION
Statement of Functional Expenses
For the Eight Months Ended December 31, 2022

		Management and		
	Program	General	Fundraising	Total
Salaries	\$ 29,590	1,683	5,307	36,580
Payroll taxes	5,085	289	912	6,286
Grants	25,000	-	-	25,000
Prosthetic supplies	440,618	-	-	440,618
Clinic needs	18,664	-	-	18,664
Fabrication	20,364	-	-	20,364
Travel	71,891	-	-	71,891
Patient expenses	22,628	-	-	22,628
Occupancy	20,767	140	140	21,047
Postage	261	6	8	275
Office supplies	-	5,609	-	5,609
Fundraising expense	-	-	2,799	2,799
Professional fees	43,550	12,979	4,000	60,529
Depreciation	1,102	-	-	1,102
Miscellaneous	-	120	-	120
	<u>-</u>	<u>120</u>	<u>-</u>	<u>120</u>
Total Expenses	\$ <u>699,520</u>	<u>20,826</u>	<u>13,166</u>	<u>733,512</u>

See accompanying notes to the financial statements.

PROTEZ FOUNDATION
Statement of Cash Flows
For the Eight Months December 31, 2022

CASH FLOWS FROM OPERATING ACTIVITIES:

Change in net assets \$ 344,874

Adjustments to reconcile change in net assets to net cash from operating activities:

Depreciation	1,102
Donated furniture and equipment	(5,800)
Increase in prepaid expense	(2,500)
Increase in right of use asset - operating lease	(112,230)
Increase in accounts payable	93,839
Increase in lease liability - operating lease	112,938
Increase in accrued compensation	6,736
Net cash provided by operating activities	<u>438,959</u>

CASH FLOWS FROM INVESTING ACTIVITIES:

Purchase of furniture and equipment	<u>(26,859)</u>
Net cash used for investing activities	<u>(26,859)</u>

INCREASE IN CASH 412,100

CASH - BEGINNING OF YEAR -

CASH - END OF YEAR \$ 412,100

See accompanying notes to the financial statements.

PROTEZ FOUNDATION
Notes to the Financial Statements
December 31, 2022

(1) **SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES**

Nature of Foundation

Protez Foundation (the Foundation) was incorporated and began operations in May 2022 as a non-profit that provides care for Ukrainians who have lost limbs and need prosthetics. Protez Foundation's mission is to provide free prosthetics and other resources for those who lost limbs, especially as a result of wars, in underserved areas of the world. The goal is to cover all financial needs for a person to get prosthetics such as visa fees, lodging and the prosthetics. Once in the United States, the Foundation provides basic orientation, logistics and psychological support.

Adoption of New Accounting Standards

The Foundation implemented FASB ASU 2020-07, *Presentation and Disclosures by Not-for-Profit Entities for Contributed Nonfinancial Assets*. This guidance increases the transparency of contributed nonfinancial assets for not-for-profit entities through enhancements to presentation and disclosure.

In February 2016, FASB issued ASU No. 2016-02, *Leases (Topic 842)*. FASB ASC 842 supersedes the lease requirements in FASB ASC 840. Under FASB ASC 842, lessees are required to recognize assets and liabilities on the statement of financial position for most leases and provide enhanced disclosures. The Foundation adopted FASB ASC 842 in 2022.

Basis of Presentation

The accompanying financial statements are presented on the accrual basis in accordance with accounting principles generally accepted in the United States of America (U.S. GAAP). Under U.S. GAAP, the Foundation is required to report information regarding its financial position and activities according to two classes of net assets.

Without Donor Restrictions - Resources over which management and the Board of Directors have discretionary control.

With Donor Restrictions - Those resources subject to donor-imposed restrictions which will be satisfied by actions of the Foundation, or passage of time, or that will be maintained in perpetuity by the Foundation. The Foundation had no net assets with donor restrictions as of December 31, 2022.

PROTEZ FOUNDATION
Notes to the Financial Statements
December 31, 2022

(1) **SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, (continued)**

Revenue and Support, (continued)

The Foundation recognizes contributions when cash, securities, unconditional promises to give, or other assets are committed by the donor. Conditional contributions - that is, those with a measurable performance or other barrier and a right of return - are not recognized until the conditions on which they depend have been met.

Contributions are recorded as support without donor restrictions or support with donor restrictions, depending on the existence and/or nature of any donor restrictions. Support that is restricted by the donor is reported as an increase in net assets with donor restrictions. When a restriction expires (that is, when a stipulated time restriction ends or purpose restriction is accomplished), net assets with donor restrictions are reclassified to net assets without donor restrictions and reported in the statement of activities as net assets released from restrictions. Contributions received with donor-imposed restrictions that are met in the same reporting period are reported as contributions without donor restrictions.

Donated Goods and Services

Donated services are recognized as contributions if they (a) create or enhance nonfinancial assets or (b) require specialized skills, are performed by people with those skills and would otherwise be purchased by the Foundation. Donated goods are valued at fair value at the date of donation. Donated goods and services consist of various items and services relating to professional fees and equipment.

A number of volunteers have made significant contributions of their time to the Foundation to help with programs and activities. The value of this contributed time is not reflected in the financial statements since such time valuation does not conform to recognition standards under U.S. GAAP.

Grants

Unconditional grants are recorded as an expense when approved by the Foundation's Board of Directors. Grants that are subject to conditions are recorded as an expense when the conditions have been substantially met.

Cash

Cash is defined as cash in checking. The Foundation maintains a checking account at one financial institution. The accounts are insured by the Federal Deposit Insurance Corporation (FDIC) for up to \$250,000. At times, the Foundation's accounts may exceed the insured limits.

PROTEZ FOUNDATION
Notes to the Financial Statements
December 31, 2022

(1) **SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, (continued)**

Furniture and Equipment

Furniture and equipment are recorded at cost. Contributed furniture and equipment are recorded at fair value at the date of donation. Additions and betterments in excess of \$2,500 are capitalized while replacements, maintenance, and repairs that do not improve or extend the life of the respective assets are expensed in the current period. Depreciation is provided through the use of the straight-line method over the estimated lives of the furniture and equipment of five to seven years.

Leases

The Foundation accounts for leases in accordance with FASB ASC 842. The Foundation determines if an arrangement is a lease, or contains a lease, at the inception of a contract and when terms of an existing contract are changed. The Foundation determines if an arrangement conveys the right to use an identified asset and whether the Foundation obtains substantially all of the economic benefits and has the ability to direct the use of the asset. The Foundation recognizes a lease liability and right of use asset at the commencement date of the lease.

A lease liability is measured based on the present value of its future lease payments. Variable payments are included in the future lease payments when those variable payments depend on an index or rate stated in the lease and are measured using the index or rate at the commencement date. Lease payments are remeasured when any of the following occur: (1) the lease is modified (and the modification is not accounted for as a separate contract), (2) certain contingencies related to variable lease payments are resolved, or (3) there is a reassessment of any of the lease terms, purchase options, or amounts that are probable of being owed under a residual value guarantee. The discount rate is the rate implicit in the lease if it is readily determinable; otherwise, the Foundation has elected to use the risk-free discount rate for a comparable lease term.

A right of use asset is measured at the commencement date at the amount of the initially measured lease liability plus any lease payments made to the lessor before commencement date, minus any lease incentives received, plus any initial direct costs. Unless impaired, the right of use assets are amortized on a straight-line basis over the shorter of the lease term or the remaining useful life of the asset.

The Foundation has elected for all underlying classes of assets, to not recognize right of use assets and lease liabilities for short-term leases that have a lease term of 12 months or less at lease commencement, and do not include an option to purchase the underlying asset that the Foundation is reasonably certain to exercise. Lease payments for short-term leases are recognized on straight-line basis.

PROTEZ FOUNDATION
Notes to the Financial Statements
December 31, 2022

(1) **SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, (continued)**

Use of Estimates

The preparation of financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect certain reported amounts and disclosures. Accordingly, actual results could differ from those estimates.

Functional Allocation of Expense

The costs of providing programs and other activities have been summarized on a functional basis in the statement of activities. The statement of functional expenses presents the natural classification detail of expenses by function. The financial statements report certain categories of expenses that are attributable to more than one program or supporting function. Therefore, these expenses require allocation on a reasonable basis that is consistently applied. Expenses that are allocated include salaries, payroll taxes and occupancy. Such expenses are allocated based on staff time worked in the various functions and square footage of the Foundation's space.

Income Tax

The Foundation is exempt from federal and state income taxes under Section 501(c)(3) of the Internal Revenue Code. U.S. GAAP requires management to evaluate tax positions taken by the Foundation and recognize a tax liability if the Foundation has taken an uncertain position that more likely than not would not be sustained upon examination by the Internal Revenue Service. Management has analyzed the tax positions taken by the Foundation and has concluded that as of December 31, 2022, there were no uncertain positions taken or expected to be taken that would require recognition of a liability or disclosure in the financial statements.

Subsequent Events

Management has evaluated subsequent events for potential recognition and disclosure through November 1, 2023, the date which the financial statements were available for issue.

(2) **LIQUIDITY AND FINANCIAL ASSETS**

The Foundation regularly monitors liquidity required to meet its operating needs. Monthly cash requirements are in the business checking account. At December 31, 2022, the Foundation has \$412,100 of financial assets available within one year of the statement of financial position date consisting of cash. None of the Foundation's financial assets are subject to donor or other contractual restrictions that make them unavailable for general expenditure within one year.

PROTEZ FOUNDATION
Notes to the Financial Statements
December 31, 2022

(3) **FURNITURE AND EQUIPMENT**

Furniture and equipment as of December 31, 2022 was as follows:

Furniture and equipment	\$ 26,859
Vehicle	<u>5,800</u>
	32,659
Less accumulated depreciation	<u>(1,102)</u>
Total	\$ <u>31,557</u>

(4) **LEASES**

The Foundation leases office space. Under the terms of this lease the Foundation has an obligation as a lessee for this office space with initial noncancelable terms of one year and a renewal option of two successive one year terms that are reasonably certain to be exercised. The lease has a term of 3 years which includes the renew option and expires September 30, 2025. The Foundation has classified this lease as an operating lease. The lease does not include termination options for either party to the lease, guaranteed residual values or restrictive financial or other covenants.

Payments due under this lease include fixed payments and variable payments for the Foundation's share of utilities. These variable lease payments are not included in lease payments used to determine lease liabilities and are recognized as variable lease costs when incurred. The Foundation used the risk-free discount rate of 3.89% to determine the lease liability and related right of use asset.

Operating lease expense was \$4,466 for 2022 and is recorded in occupancy expense on the statement of functional expenses.

Maturities of operating lease liabilities as of December 31, 2022 were as follows:

2023	\$ 34,847
2024	45,569
2025	<u>40,207</u>
Total lease payments	120,623
Less present value adjustment	<u>(7,685)</u>
Present value of lease liabilities	\$ <u>112,938</u>

The Foundation entered into a short-term lease agreement of five months for patient housing. The lease term is October 29, 2022 through March 31, 2023. The use of this house is being donated to the Foundation and has been recognized as donated goods and services on the statement of activities and occupancy on the statement of functional expenses.

PROTEZ FOUNDATION
Notes to the Financial Statements
December 31, 2022

(4) **LEASES, (continued)**

In May 2023, the Foundation entered into a short-term lease of twelve months for patient housing. The lease expires on May 12, 2024 and monthly rental payments are \$3,000.

(5) **DONATED GOODS AND SERVICES**

For 2022, the Foundation received and recorded the following donated goods and services:

Vehicle	\$ 5,800
Rent	7,000
Professional services	<u>52,529</u>
	<u>\$ 65,329</u>

The donated vehicle is used in the delivery of service to patients. The Foundation estimates the fair value of the vehicle on the basis of estimates of the current market rates for similar vehicles.

The Foundation received donated housing for patients to use while they are receiving services. The Foundation estimates the fair value of the rent based on current market rental rates for similar houses.

Professional services include legal fees, prosthetist fees, and other health professionals. The legal fees are used by the Foundation and are administrative in nature. Prosthetist fees and other health professionals are used in the delivery of services to patients. The Foundation estimates the fair value of these services based on current market rates for similar services.

The donated goods and services were received without donor restrictions.